

DEPRECIATION

TAX DEPRECIATION:

A term used for accounting purposes to identify the amount of the decrease in value of a property that is allowed for tax purposes.

A homeowner can write-off the depreciation of their property as an expense. The **STRAIGHT LINE** method is commonly used for real property.

STRAIGHT LINE DEPRECIATION:

A method of depreciation under which improvements are depreciated at a constant rate throughout the estimated useful life of the improvement.



RESIDENTIAL PROPERTIES

According to the IRS, residential properties depreciate over:

27.5 Years

EXAMPLE:

A single family home is purchased for \$250,000

The land itself is valued at \$50,000

The house itself is worth:

$$\text{\$250,000} - \text{\$50,000} = \text{\$200,000}$$

To determine the amount the homeowner can write-off for depreciation, simply divide the value of the house by 27.5

$$\text{\$200,000} / 27.5 = \text{\$7,272.73}$$

The homeowner can deduct \$7,272.73 each year from their taxable income.



COMMERCIAL PROPERTIES

According to the IRS, commercial properties depreciate over:

39 Years

EXAMPLE:

An office building is purchased for \$1,800,000

The land itself is valued at \$250,000

The building itself is worth:

$$\text{\$1,800,000} - \text{\$250,000} = \text{\$1,550,000}$$

To determine the amount the building owner can write-off for depreciation, simply divide the value of the building by 39

$$\text{\$1,550,000} / 39 = \text{\$39,743.59}$$

The building owner can deduct \$39,743.59 each year from their taxable income.